

CIVIL LAW & MOTION CALENDAR – Hon. Joseph J. Solga, Dept. B (Historic Courthouse) at 8:30 a.m.

Ryan Hemming v. Cappel Management LXII, LLC et al

26CV000473

MOTION TO COMPEL ARBITRATION AND STAY ACTION

TENTATIVE RULING: The motion is GRANTED. Plaintiff is ordered to remit to arbitration his claims asserted through the Complaint in this action. The Clerk shall set the matter for a Status Conference re: Arbitration on March 11, 2027, at 8:30 a.m. in Dept. B. The parties shall, no later than March 4, 2027, file a brief statement informing the Court of the status of arbitration. The September 11, 2026 Case Management Conference is VACATED.

A. PROCEDURAL MATTERS

Defendants Cappel Management LXII, LLC, dba Kastner Honda (Kastner Honda), and Tam Nguyen (Mr. Nguyen) (collectively, Defendants) move, pursuant to the California Arbitration Act (CAA) (Code of Civil Procedure sections 1280 *et seq.*) and the Federal Arbitration Act (FAA) (9 U.S.C. § 1 *et seq.*), for an order compelling Plaintiff Ryan Hemming (Plaintiff) to arbitrate his claims in the instant matter and immediately staying all proceedings pending completion of arbitration.

The Complaint asserts seven causes of action arising from allegations regarding race and age discrimination, harassment, retaliation, and wrongful termination.

Plaintiff's Evidentiary Objections to Defendants' Evidence are OVERRULED. The Court finds that the Declaration of Katie Digsby (Digsby Decl.) provides sufficient foundation and personal knowledge for the material declared therein. Namely, Ms. Digsby's position as Director of Human Resources for Victory Automotive Group, LLC—which has common ownership with, and provides policy and administrative services to, Kastner Honda—is a sufficient basis upon which her personal knowledge and familiarity of Plaintiff's onboarding process with Kastner Honda rests. Moreover, Ms. Digsby's description of the electronic platform through which Plaintiff's signature was affixed to the Mutual Agreement to Arbitration (Arbitration Agreement or Agreement): (1) is consistent with that found to establish the plaintiff's signature in *Espejo v. Southern Cal. Permanente Med. Group* (2016) 246 Cal.App.4th 1047, 1062, cited by Plaintiff, and (2) provides significantly more detail than that found to be lacking in personal knowledge in *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 169, cited by Plaintiff.

B. LEGAL STANDARD

A proceeding to compel arbitration is, in essence, a suit in equity to compel specific performance of a contract. (*California Teachers Assn. v. Governing Bd.* (1984) 161 Cal.App.3d 393, 399.) On a motion to compel arbitration, supported by *prima facie* evidence of a written agreement to arbitrate the underlying controversy, the court must determine whether the agreement exists and, if any defense to its enforcement is raised, whether the agreement is enforceable. (*Rosenthal v. Great Western Financial Sec. Corp.* (1996)

14 Cal.4th 394, 413.) The moving party bears the burden of proving the existence of the agreement by a preponderance of the evidence. (*Ibid.*) The opposing party bears the burden of producing evidence of and proving (by a preponderance) any fact necessary to any defense raised. (*Ibid.*) California law strongly favors arbitration. (*Prima Donna Development Corp. v. Wells Fargo Bank, N.A.* (2019) 42 Cal.App.5th 22, 35.)

C. DISCUSSION

1. Defendants Make a *Prima Facie* Showing that an Arbitration Agreement Exists Covering Plaintiff's Claims Against Defendants

Defendants present *prima facie* evidence that “Kastner Honda,” and “its parents, affiliates, successors, and assigns including but not limited to Victory Automotive Group, LLC and its respective officers, shareholders, partners, directors, members, managers, and agents (collectively, the Company or Employer),” on the one hand, and Plaintiff, on the other hand, entered into the Arbitration Agreement attached as Exhibit A to the Digsby Decl.

Plaintiff concedes that Employer is defined in the Agreement as Kastner Honda. Plaintiff takes issue with the fact, however, that the Agreement identifies “Kastner Honda,” and not “Cappo Management LXII, LLC, dba Kastner Honda” as Employer. Plaintiff then argues that “[u]se of a fictitious business name does not create a separate legal entity.” *Pinkerton’s, Inc. v. Superior Court*, 49 Cal.App.4th 1342, 1348 (1996). The signature page therefore names no legal entity of its own.” (Opp., 4:16-18.)

Plaintiff’s argument is not entirely clear to the Court, but the Court finds that *Pinkerton’s, Inc.* supports Defendants’ position—that the inclusion of “Kastner Honda” is enforceable against “Cappo Management LXII, LLC, dba Kastner Honda.” *Pinkerton’s, Inc.* holds that a corporation and its fictitious business name are the same legal entity, not legally distinct entities. By extension, where an arbitration agreement names a fictitious business name, the underlying legal entity is the contracting party against whom the agreement is enforceable. Here, Plaintiff alleges in his Complaint that “Cappo Management LXII, LLC” is doing business as “Kastner Honda.” (Compl., ¶ 2.) Under similar circumstances, *Kostandian v. American Honda motor Co., Inc.* (2026) 120 Cal.App.5th 872, 879-80 held that a corporation was a party to an arbitration agreement, where the agreement only named the fictitious business name, but the plaintiff conceded, through the complaint’s allegations, that the corporation was doing business as the fictitious business name.

Based on the foregoing, the Court finds that Defendants have made a *prima facie* showing that Cappo Management LXII, LLC, dba Kastner Honda is a party to the Arbitration Agreement.

With respect to Mr. Nguyen, Defendants argue that “California permits a nonsignatory defendant to compel a signatory plaintiff to arbitrate where there is a connection between the claims alleged against the nonsignatory and its alleged agency relationship with the signatory.” (Mem., 6:10-12, citing *Dryer v. Los Angeles Rams* (1985) 40 Cal.3d 406, 418.) Defendants do not provide analysis of the legal principle discussed in *Dryer* to the present facts.

The Court finds that *Dryer* applied the agency exception to the general rule that only a party to an arbitration agreement may enforce it. *Dryer* held “[i]f, as the complaint alleges, the individual defendants, though not signatories, were acting as agents for the [signatory corporation], then they are entitled to the benefit of the arbitration provisions.” (*Ibid.*) While the controversy that was the subject of litigation in *Dryer* was based upon the very agreement containing the arbitration provision, that fact (which is perhaps relevant to an equitable estoppel theory for a nonsignatory enforcing an arbitration agreement) was not the basis for the holding in *Dryer* under the enumerated “agency” theory. Rather, “[t]he [agency] exception applies, and a defendant may enforce the arbitration agreement, when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement.” (*Soltero v. Precise Distribution, Inc.* (2024) 102 Cal.App.5th 887, 898. Internal quotations omitted.)

Here, as Plaintiff concedes through his Complaint, Mr. Nguyen is being sued as an agent of Kastner Honda. (Compl., ¶¶ 3, 25, 36, 47, 68, 73, 78, 82.) Thus, under *Dryer* and the agency exception, Mr. Nguyen is entitled to the benefit of the Arbitration Agreement.

The Court finds that the scope of claims subject to arbitration pursuant to the Arbitration Agreement is broad and appears to the Court to encompass all of Plaintiff’s claims against Defendants.

Based on the foregoing, the Court finds that Defendants have carried their initial burden of proving, by a preponderance of the evidence, an agreement to arbitrate each of Plaintiff’s claims. (*Rosenthal, supra*, 14 Cal.4th at 413.)

2. Plaintiff Fails to Show that the Arbitration Agreement is Unconscionable

“A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.” (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125 (*OTO*)).) Thus, the doctrine of unconscionability has both a procedural and a substantive element. (*Ibid.*) “‘The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. [Citations.] Substantive unconscionability pertains to the fairness of an agreement’s actual terms and to assessments of whether they are overly harsh or one-sided.’ [Citation.]” (*Ibid.*)

“‘The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.’ (Citation.) But they need not be present in the same degree. ‘Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves.’ (Citation.) In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 abrogated on other

grounds by *AT&T Mobility LLC v. Concepcion* (2010) 563 U.S. 333, [131 S.Ct. 1740, 179 L.Ed.2d 742].)

The defense is “inherently fact specific.” (*OTO, supra*, 8 Cal.5th at 138.) “The burden of proving unconscionability rests upon the party asserting it.” (*Id.* at 126.) Under the FAA, unconscionability claims are to be resolved by the trial court before enforcing an arbitration agreement. (*Id.* at 138.)

a. Plaintiff Fails to Meet his Burden to Prove Procedural Unconscionability

For procedural unconscionability, the “pertinent question” is “whether circumstances of the contract’s formation created such oppression or surprise that closer scrutiny of its overall fairness is required.” (*OTO, supra*, 8 Cal.5th at 126.) “Oppression occurs where a contract involves lack of negotiation and meaningful choice, surprise where the allegedly unconscionable provision is hidden within a prolix printed form.” (*Ibid.*) “The circumstances relevant to establishing oppression include, but are not limited to (1) the amount of time the party is given to consider the proposed contract; (2) the amount and type of pressure exerted on the party to sign the proposed contract; (3) the length of the proposed contract and the length and complexity of the challenged provision; (4) the education and experience of the party; and (5) whether the party’s review of the proposed contract was aided by an attorney.” (*Id.* at 126-127 quoting *Grand Prospect Partners, L.P. v. Ross Dress for Less, Inc.* (2015) 232 Cal.App.4th 1332, 1348.)

Plaintiff argues the Agreement is procedurally unconscionable because it is a preprinted, employer-drafted form, and binds the employee to rules it never supplied. However, Plaintiff submits no evidence in support of his contentions in Opposition. Specifically, Plaintiff submits no evidence as to any of the above-numerated *OTO* factors. On the other hand, the Agreement expressly states: “I understand that entering into this agreement is entirely voluntary and if I choose not to enter into it, my Employer will not threaten, retaliate, or discriminate against, or terminate me because of that.” (Digsby Decl., Exh. A.) Moreover, Plaintiff submits no evidence that he requested a copy of the JAMS rules or that his request was denied, despite the Agreement expressly stating: “I understand that the Company will provide me a written copy of [the JAMS] rules upon request.” (*Ibid.*)

Based on the foregoing, Plaintiff has not met his burden to prove procedural unconscionability.

b. The Court Does Not Find the Arbitration Agreement Substantively Unconscionable

Plaintiff argues that the Agreement is substantively unconscionable on three grounds.

First, Plaintiff argues that the following notice provision purports to waive statutory rights: “The Company and I agree that the party asserting a claim must give written notice of any claim to the other party no later than the expiration of the statute of limitations (deadline for filing) that the law prescribes for the claim. Otherwise, the claim shall be deemed waived.” Plaintiff relies on *Ramirez v. Charter Commc’ns, Inc.* (2024) 16 Cal.5th 478, 502 and *Ellis v.*

U.S. Sec. Assocs. (2014) 224 Cal.App.4th 1213, 1217 in support of his contention that the notice provision is unconscionable.

Defendants argue that the notice provision is not a waiver of statutory rights but a procedural requirement for initiation of arbitration within the statute of limitations period.

The Court finds that the provisions at issue in *Ramirez* and *Ellis* are distinguishable. There, the employment arbitration agreements provided that, if a claim requires the filing of a charge with an administrative agency before a court action may be instituted (like a FEHA claim), the deadline for an arbitration claim was the administrative agency filing deadline (as opposed to the statute of limitations deadline). (*Ramirez, supra*, 16 Cal.5th at 502; *Ellis, supra*, 224 Cal.App.4th at 1217.) The deadline for filing a FEHA claim with the administrative agency is one year, which is two-thirds the amount of time provided under the applicable statute of limitations. (*Ibid.*) Thus, those courts held that the subject provisions shortened the limitations period and that such shortening was unconscionable. (*Id.*)

Here, the notice provision simply requires the employee to give notice of a claim no later than the expiration of the limitations period. It does not require that notice be given at the time a claim is required to be filed with an administrative agency. It does not shorten the limitations period. Were the action to be filed in court, it, too, would be required to be filed no later than the expiration of the limitations period. Based on the foregoing, the Court does not find the notice provision unconscionable.

Second, Plaintiff argues that the Agreement is substantively unconscionable because it binds the employee to the JAMS rules which were not supplied to Plaintiff. Defendants dispute that the Agreement is substantively unconscionable on this ground. The Court agrees with Defendants. An agreement's incorporation of rules of an arbitration service provider, such as JAMS, is a possible ground for procedural unconscionability, not substantive unconscionability. Plaintiff raised it as a ground for procedural unconscionability, which the Court discussed above. Thus, the Court does not analyze it again here. Moreover, Plaintiff identifies no specific rule under JAMS which it contends to be substantively unconscionable.

Finally, Plaintiff argues that the Agreement is unconscionable because it requires an arbitrator to determine the arbitrability of any claim (which Plaintiff classifies as an employee's gateway objection to arbitration) while allowing a court to determine the enforceability of a class waiver (which Plaintiff classifies as an employer's gateway objection). Plaintiff argues that this lacks mutuality under *Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 117. Defendants reply that courts routinely find it proper for arbitration agreements to delegate the question of arbitrability to an arbitrator. (Reply, 10:13-15, citing *Sandquist v. Lebo Automotive, Inc.* (2016) 1 Cal.5th 233, 243.)

Armendariz did not involve this specific question. It dealt with a provision that required only employees to arbitrate their wrongful termination claims against the employer, but did not require the employer to arbitrate those claims against the employee. (*Id., supra*, 24 Cal.4th at 116-17.) *Armendariz* found that provision to lack mutuality. Yet, *Armendariz* expressly acknowledged that *not* "all lack of mutuality in a contract of adhesion [is] invalid." (*Id.*, at 118-

21.) The Court does not find the provision, here—requiring an arbitrator to determine issues of arbitrability, other than the enforceability of the class waiver—to lack mutuality, much less rise to the level of non-mutuality as that considered in *Armendariz*. (See also *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1248, fn. 4.0 [A provision is not “unfairly one-sided merely because one side is, as a practical matter, more likely to make use of it.”].)

Based on the foregoing, the Court does not find the Agreement substantively unconscionability.

For all the foregoing reasons, the Motion is GRANTED.

The court action is stayed pending the outcome of arbitration. (Code Civ. Proc., § 1281.4 [“If a court of competent jurisdiction . . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate.”].)